AccountIQ

REPORT BASIS

Uploaded financials	Five private inputs	Public-source trail	AccountIQ model
Revenue, earnings and balance sheet	Only facts management can confirm	Research URLs retained for review	DCF, WACC, multiples and sensitivity

VALUATION SNAPSHOT

Output	High	Mid	Low
Enterprise value	**$2,831,000**	**$2,314,000**	**$1,898,000**
Less: net debt	**$65,000**	**$65,000**	**$65,000**
Indicative equity value	**$2,766,000**	**$2,249,000**	**$1,833,000**

Computed from the same valuation table used in the body of this report.

DEMO DATA - NOT FOR RELIANCE

Demo Indicative Valuation Report

AccountIQ Sample Limited

PREPARED FOR	**AccountIQ Sample Limited**	PREPARED BY	**AccountIQ**
REPORT TYPE	**Demo Indicative Valuation Report**	REFERENCE	**AIQ-VAL-009001**
VALUATION DATE	**4 July 2026**	PURPOSE	**Understand what the business may be worth**
BASIS OF VALUE	**Indicative fair-market value, going-concern basis**	RELIANCE	**Demo data only - not for reliance.**

REPORT NAVIGATION

Contents

BASIS OF PREPARATION

Basis of preparation

Report letter

AccountIQ has prepared this indicative valuation report for AccountIQ Sample Limited as a professional valuation report pack for Demo Indicative Valuation Report. It is intended to give the reader a clear valuation range, the evidence relied upon, the key limitations and the management-confirmed assumptions without requiring the owner to complete a long technical valuation questionnaire.

Letter item	Report position
Prepared for	AccountIQ Sample Limited
Prepared by	AccountIQ valuation team
Preparer role	Valuation report preparation and evidence synthesis
Organisation	AccountIQ
Report channel	Secure AccountIQ workspace and downloadable PDF
Report type	Demo Indicative Valuation Report
Reference	AIQ-VAL-009001
Purpose and reliance	Understand what the business may be worth
Information relied upon	Uploaded financial statements, five management-confirmed private inputs, the earnings-adjustment review, public-source research and AccountIQ valuation calculations.
Work performed	AccountIQ prepared DCF, discount-rate, sensitivity, multiples and enterprise-to-equity schedules and used those outputs to draft the valuation narrative.
Important limitation	This is an indicative valuation report only and is not an audit or assurance engagement, legal advice, tax advice, a fairness opinion or a buyer-specific synergy assessment.

This front-matter explains how AccountIQ prepared the indicative valuation from uploaded financial information, management-confirmed private inputs, public research and AccountIQ valuation calculations. Technical assumptions such as discount rate, terminal growth and forecast horizon are derived and disclosed rather than selected by management, so the reader can see what each conclusion relies on.

Scope item	Value
Valuation purpose	Understand what the business may be worth
Valuation date	4 July 2026
Basis of value	Indicative fair-market value of the operating business on a going-concern basis, before buyer-specific synergies or transaction structure.
Reliance limitation	Indicative valuation support for the stated purpose only; not financial advice and not a substitute for independent professional advice.

Scope item	Value
Information basis	Prepared from uploaded financial statements, the five management-confirmed private inputs, the earnings-adjustment review, public-source research and AccountIQ valuation calculations available at the valuation date.
Scope exclusions	Does not constitute an audit, assurance engagement, legal advice, tax advice, transaction fairness opinion or buyer-specific synergy assessment.

Management input trail

Management input	Basis	How it informs the report
Management input - Valuation purpose	Management-confirmed private input	Understand what the business may be worth. Frames the report scope, reliance wording and how the valuation conclusion is positioned.
Management input - Owner or key-person dependency	Management-confirmed private input	Responsibility is shared across leadership and team. Informs continuity, handover risk, transition risk and specific-risk commentary.
Management input - Largest-customer concentration	Management-confirmed private input	10% to 25%. Informs revenue-retention risk, diligence focus and concentration commentary.
Management input - Revenue predictability	Management-confirmed private input	A mix of recurring and one-off revenue. Informs cash-flow reliability, contract-security commentary and forecast support.
Management input - Revenue outlook	Management-confirmed private input	No specific forecast provided; growth derived from uploaded financial history. Informs the short-term growth assumption or, when no specific forecast is supplied, the decision to derive growth from uploaded financial history.

BASIS OF PREPARATION

Evidence and model basis

Input area	How it is used in the report
Uploaded financial statements	Used for historical revenue, profitability, balance sheet items, working capital, candidate normalisations and financial ratio analysis.
Five management-confirmed private inputs	Used for purpose, owner or key-person dependency, customer concentration, revenue predictability and the realistic 12-24 month revenue outlook.
Earnings-adjustment review	Used to confirm genuine one-off, owner-specific or non-operating items before they appear in the normalisation schedule; recurring operating costs are intentionally left in the earnings base.
Optional public-source hints	Used only to match the correct business and guide research. They are not required from management and are treated as source hints until corroborated.
Simulated public research	Used for company and sector context, comparable evidence, RBNZ risk-free-rate context, Damodaran discount-rate inputs and inflation assumptions; URLs are retained in the sources section.
AccountIQ valuation model	AccountIQ calculates the DCF valuation, discount-rate scenarios, multiples cross-check, enterprise-to-equity bridge, sensitivity matrix and forecast cash-flow schedule before the narrative is written.
Derived technical assumptions	Discount rate, terminal growth and forecast horizon are derived by the AccountIQ valuation model and disclosed in the report rather than selected by management.
Questions intentionally not asked	Management is not asked to choose the forecast horizon, WACC, terminal growth or discount-rate scenarios; AccountIQ derives these technical inputs from uploaded financials, public market evidence and its valuation model.

ACCOUNTIQ INDICATIVE VALUATION

01 Introduction

Client and report purpose

This indicative valuation has been prepared to provide management and shareholders with an informed view of the fair-market value of 100% of the operating business. The stated purpose is to understand what the business may be worth before any sale, finance or shareholder discussion.

Valuation date and basis of value

The valuation is expressed as at the prepared date shown on the cover page. Value is considered on a going-concern fair-market basis for the operating business, before buyer-specific synergies, transaction structure, warranties or completion adjustments.

Sources of information

The report draws on uploaded financial information, management-confirmed private inputs, public-source research and AccountIQ valuation calculations. Public source URLs are retained in the sources section so a reader can inspect the evidence trail behind the valuation assumptions.

Liability, confidentiality and compliance

This report is indicative only and is prepared for the stated purpose. It is not an independent business valuation report, does not constitute financial advice and should not be relied on as a substitute for independent professional advice. Demo figures and simulated research are included only to demonstrate the AccountIQ report experience.

ACCOUNTIQ INDICATIVE VALUATION

02 Executive Summary

The primary discounted cash flow analysis indicates an enterprise value range of $1.90 million to $2.83 million after the private-company illiquidity adjustment, with a midpoint of $2.31 million. The result is most sensitive to maintainable EBITDA, customer retention and the selected cost of capital.

Valuation conclusion at a glance

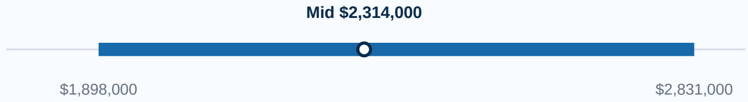
Conclusion	Value	Reader takeaway
Enterprise value range	**$1,898,000 - $2,831,000**	Primary DCF valuation range after the private-company illiquidity adjustment.
Midpoint enterprise value	**$2,314,000**	Central indication before the net debt and surplus asset bridge.
Midpoint equity value	**$2,249,000**	Central shareholder-value indication after the enterprise-to-equity bridge.
Net debt adjustment	**$65,000**	Bridge item applied consistently across the valuation scenarios.

Valuation range visual

Low, midpoint and high cases from AccountIQ's valuation schedules.

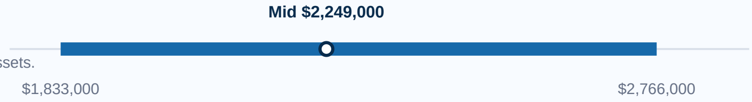
Enterprise value

Operating-business value before the net-debt bridge.



Indicative equity value

Shareholder-value range after debt, cash and surplus assets.



Indicative valuation	High	Mid	Low
Enterprise value	$2,831,000	$2,314,000	$1,898,000
Less: net debt	$65,000	$65,000	$65,000
Indicative equity value	$2,766,000	$2,249,000	$1,833,000

ACCOUNTIQ INDICATIVE VALUATION

03 Overview

The subject company provides recurring business services to New Zealand SMEs. Public-source research indicates a stable market position supported by repeat customers, while management has confirmed that responsibility is shared across the operating team.

Business context at a glance

Interpretation	Value	Meaning
Owner or key-person dependency	**Responsibility is shared across leadership and team**	Management-supplied context used to frame transition and key-person risk.
Customer concentration	**10% to 25%**	Management-supplied context highlighting whether revenue is exposed to large customers.
Revenue predictability	**A mix of recurring and one-off revenue**	Management-supplied context distinguishing recurring, mixed and project-based revenue.
Revenue outlook	**No specific forecast provided; growth derived from uploaded financial history**	Management-supplied context used to support or derive the short-term growth assumption.

ACCOUNTIQ INDICATIVE VALUATION

04 Market Position

The relevant New Zealand services market remains fragmented. Competitive advantage depends on customer retention, delivery quality and trusted relationships. Public market evidence was cross-checked against the company's private operating context.

Market consideration	Current context	Valuation relevance
Competitive structure	Fragmented private-SME market	Customer retention and delivery quality affect maintainable earnings and risk.

Market context at a glance

Interpretation	Value	Meaning
Public sources retained	**4**	Source URLs are retained for market, profile and benchmark context.
Benchmark evidence	**Public evidence supports sector or EV/EBITDA context**	Explains whether public evidence supports market or EV/EBITDA context.
Public profile support	**Public sources support the company profile or operating context**	Explains whether public sources support company-profile or operating-context statements.
Comparability caveat	**Limitations explain the evidence is contextual, not direct pricing**	Explains that public evidence is used for context and cross-checking, not a direct price.

ACCOUNTIQ INDICATIVE VALUATION

05 About Business Valuations

What the valuation represents

A business valuation estimates what a willing, informed buyer might pay and a willing, informed seller might accept in an arm's-length transaction at the valuation date. It is not the same as a guaranteed sale price. It assumes a going-concern operating business and focuses on maintainable earnings rather than a one-off result. The final consideration may also reflect buyer synergies, deal structure, warranties, working-capital adjustments and market conditions.

Enterprise value and equity value

Enterprise value is the value of the operating business before its financing position. Equity value is derived by deducting interest-bearing debt and adding available cash and separately identified surplus assets. This report therefore presents both measures.

Why a range is used

Private-company value is sensitive to forecasts, customer retention and the return required by a market participant or investor. High, midpoint and low cases communicate that uncertainty more honestly than a single point estimate.

ACCOUNTIQ INDICATIVE VALUATION

06 Valuation Methodology Adopted

Primary method - discounted cash flow

Discounted cash flow is the primary method because it directly reflects the company's maintainable future cash-generating capacity. Expected free cash flows are forecast over five years and discounted to present value using a private-company cost of capital.

Independent cross-check - market multiples

Researched EV/EBITDA evidence provides an independent reasonableness cross-check. It is not used mechanically because disclosed transactions differ in scale, growth, customer mix, contract security and strategic value.

Methodology at a glance

Interpretation	Value	Meaning
Primary valuation method	**Discounted cash flow**	Forecast free cash flows are the primary valuation basis.
Discount-rate range	**9.9% - 13.4%**	High, midpoint and low WACC scenarios create the valuation range.
Market cross-check	**5.0x - 7.0x EV/EBITDA**	Researched market multiples are used as a reasonableness check.
Equity bridge	**$2,249,000**	Enterprise value is bridged to shareholder value using debt, cash and surplus assets.

Valuation approach selection

Explains why the report adopts DCF, uses market multiples as a cross-check and does not rely on a net-asset method.

Approach	Role	Why this treatment is appropriate	Report treatment
Income approach - DCF	Adopted as primary	Best matches a going-concern SME where value is driven by expected maintainable free cash flow.	Primary adjusted enterprise-value range: $1,898,000 - $2,831,000.
Market approach - EV/EBITDA	Reasonableness cross-check	Useful for market orientation, but not applied mechanically because public and transaction evidence differs in scale, liquidity, growth and participant-specific context.	Cross-check range: 5.0x - 7.0x EV/EBITDA.
Asset approach / net assets	Not primary	The report values the operating business as a going concern rather than on a liquidation or asset-accumulation basis.	Balance-sheet inputs are used for the enterprise-to-equity bridge; midpoint equity value is $2,249,000.

ACCOUNTIQ INDICATIVE VALUATION

07 Financial Performance

Revenue increased from $980,000 in FY23 to $1.25 million in FY25, while the forecast year uses a more measured $1.35 million revenue base rather than assuming an aggressive step-change. Direct costs are shown separately so the reader can see the bridge from revenue to gross profit, and operating expenses are then deducted to arrive at EBITDA. The key expense breakdown highlights the main controllable overheads: wages and salaries are the largest cost category, rent and occupancy is the next major recurring overhead, and marketing, insurance and other operating expenses are shown where they are material.

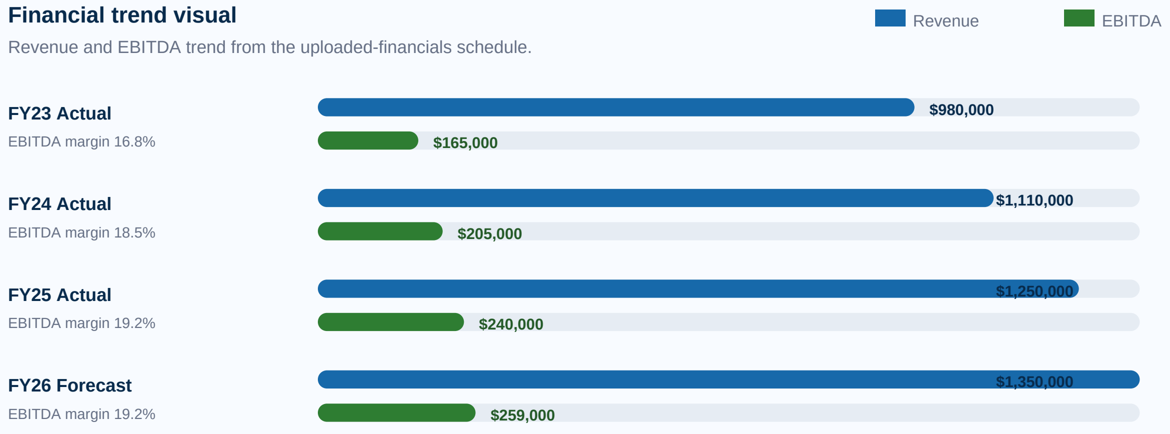
Gross profit improved from $588,000 to $787,500 over the historical period, while EBITDA increased from $165,000 to $240,000. The forecast keeps EBITDA margin broadly stable at 19.2%, which is deliberately conservative: it recognises recent operating leverage without assuming every efficiency gain repeats indefinitely. FY25 reported EBITDA of $240,000 is then adjusted separately in the normalisation schedule to reach the maintainable earnings base used for valuation.

Trading performance at a glance

Interpretation	Value	Meaning
Revenue bridge	**$980,000 to $1,350,000**	Top-line progression across the historical and forecast period shown in the report.
Direct-cost bridge	**($392,000) to ($499,500)**	Shows the cost-of-sales deduction used to move from revenue to gross profit.
Gross profit bridge	**$588,000 to $850,500**	Shows the trading margin available before overheads and other operating expenses.
Operating expense bridge	**($423,000) to ($591,500)**	Shows the overhead deduction used to reconcile gross profit to EBITDA.
Wages and salaries	**($240,000) to ($335,000)**	Highlights the main people-cost component inside operating expenses.
Rent and occupancy	**($84,000) to ($102,000)**	Highlights the main premises or occupancy cost inside operating expenses.
Other operating expenses	**($54,000) to ($89,500)**	Residual or other material overheads shown so EBITDA is easier to trace.
EBITDA bridge	**$165,000 to $259,000**	Operating earnings progression before the normalisation schedule is applied.
EBITDA margin bridge	**16.8% to 19.2%**	Shows whether operating leverage is improving, stable or weakening across the period.
Latest actual EBITDA	**$240,000**	Latest actual earnings reference point before forecast and valuation adjustments.

Financial trend visual

Revenue and EBITDA trend from the uploaded-financials schedule.



Year ending March	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Forecast
Revenue	$980,000	$1,110,000	$1,250,000	$1,350,000
Less: direct costs / cost of sales	($392,000)	($427,400)	($462,500)	($499,500)
Gross profit	$588,000	$682,600	$787,500	$850,500
Less: operating expenses before EBITDA	($423,000)	($477,600)	($547,500)	($591,500)
Key expense breakdown - wages and salaries	($240,000)	($272,000)	($310,000)	($335,000)
Key expense breakdown - rent and occupancy	($84,000)	($90,000)	($96,000)	($102,000)
Key expense breakdown - advertising and marketing	($30,000)	($36,000)	($42,000)	($45,000)
Key expense breakdown - insurance	($15,000)	($16,600)	($18,000)	($20,000)
Key expense breakdown - other operating expenses	($54,000)	($63,000)	($81,500)	($89,500)
EBITDA	$165,000	$205,000	$240,000	$259,000
EBITDA margin	16.8%	18.5%	19.2%	19.2%
Less: depreciation and amortisation	($20,000)	($22,000)	($25,000)	($27,000)
EBIT	$145,000	$183,000	$215,000	$232,000
Net profit after tax	$105,000	$128,000	$150,000	$163,000

ACCOUNTIQ INDICATIVE VALUATION

08 Historical Ratio Analysis

Historical ratios show improving scale and operating leverage. The forecast deliberately holds EBITDA margin broadly flat rather than assuming that the recent expansion continues indefinitely.

Margin and growth at a glance

Interpretation	Value	Meaning
Latest revenue growth	**8.0%**	Latest growth rate shown in the uploaded-financials trend table.
Gross margin bridge	**60.0% to 63.0%**	Shows whether direct-cost efficiency is improving, stable or weakening.
EBITDA margin bridge	**16.8% to 19.2%**	Summarises operating leverage before valuation adjustments.
Net profit margin bridge	**10.7% to 12.1%**	Shows the after-tax profit conversion trend visible in the uploaded financials.

Ratio	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Forecast
Revenue growth	Not available	13.3%	12.6%	8.0%
Gross margin	60.0%	61.5%	63.0%	63.0%
EBITDA margin	16.8%	18.5%	19.2%	19.2%
Net profit margin	10.7%	11.5%	12.0%	12.1%

ACCOUNTIQ INDICATIVE VALUATION

09 Normalisations

Normalisations isolate maintainable operating earnings from owner-specific and one-off expenditure.

Normalisation impact at a glance

Interpretation	Value	Meaning
Confirmed adjustments	**2**	Management-reviewed normalisation items included in the maintainable earnings bridge.
Net EBITDA adjustment	**$47,000**	Net add-back or deduction applied before the valuation earnings base.
Largest adjustment	**Owner remuneration above market - $35,000**	Largest individual normalisation item for adviser or management review.
Normalised EBITDA	**$287,000**	Maintainable earnings base used in the valuation analysis.

Normalised EBITDA bridge

Shows how uploaded operating earnings from the uploaded accounts convert to the maintainable EBITDA used in the valuation. Source basis: uploaded accounts plus confirmed adjustment rows from the earnings-adjustment review. Valuation use: the same normalised EBITDA is carried into DCF and multiples.

Uploaded EBITDA basis **$240,000** Starting earnings base from the uploaded financial statements.	+	**Net normalisation** **$47,000** Management-reviewed add-backs or deductions confirmed before valuing maintainable earnings.	=	**Normalised EBITDA** **$287,000** Maintainable earnings base carried into DCF and market-multiple checks.
Owner review **2 adjustments** The earnings bridge comes from the earnings-adjustment review and uploaded accounts.		**Source basis** **Accounts + review** The bridge is calculated from uploaded accounts and confirmed adjustment rows.		**Valuation use** **DCF and multiples** The same normalised EBITDA is used consistently across valuation methods.

Adjustment	Amount	Rationale
Owner remuneration above market	$35,000	Replace with an arm's-length management cost
One-off legal costs	$12,000	Non-recurring legal expenditure
Normalised FY25 EBITDA	$287,000	Reported EBITDA plus confirmed adjustments

ACCOUNTIQ INDICATIVE VALUATION

10 Balance Sheet Summary

The balance sheet is shown for two reasons. First, it gives the reader context on the reported asset, liability and net-asset position of the business. Secondly, it explains how AccountIQ converts enterprise value, which values the operating business before financing, into equity value, which is the value attributable to shareholders.

The sample business has $370,000 of current assets and $260,000 of current liabilities, which supports the working-capital assumption used in the DCF. The operating asset base is mainly accounts receivable, stock and fixed assets, while the main operating liability is accounts payable. Net tangible operating assets are shown separately so the reader can see the operating asset position before cash and interest-bearing loans are considered.

Reported net assets of $430,000 are materially below the $2.249 million midpoint equity value because the valuation is based on maintainable cash flow rather than book value. Net debt of $65,000 is deducted from enterprise value and no separately identified surplus assets are added.

Enterprise-to-equity bridge

Interpretation	Value	Meaning
Operating liability detail	$155,000	Shows the main operating payable deducted in the NTOA position.
Loan detail	$60,000 current loans and $100,000 long-term loans	Shows borrowings separately from operating assets and liabilities.
NTOA position	$260,000	Net tangible operating assets before cash, interest-bearing debt and surplus assets.
Current balance sheet position	$370,000 current assets vs $260,000 current liabilities	Summarises short-term balance-sheet scale before the valuation bridge.
Total asset and liability base	$850,000 total assets vs $420,000 total liabilities	Shows the reported balance-sheet base used as context, not as the primary valuation method.
Reported net assets	$430,000	Book equity is shown as context and should not be read as the going-concern valuation conclusion.
Midpoint enterprise value	$2,314,000	Operating-business value before the debt, cash and surplus-asset bridge.
Net debt bridge	($65,000)	Debt exceeds cash by this amount, reducing the value attributable to shareholders.
Midpoint equity value	$2,249,000	Central shareholder-value indication after the bridge from enterprise value.

Enterprise-to-equity visual

Shows how operating-business value converts to shareholder value using existing balance-sheet inputs.

Midpoint enterprise value		Less net debt		Surplus assets		Midpoint equity value
$2,314,000	-	($65,000)	+	$0	=	$2,249,000
Operating-business value before debt, cash and surplus assets.		Interest-bearing debt less available cash.		Separately identified non-operating assets added back.		Indicative shareholder value after the balance-sheet bridge.

Balance sheet item	Value	Commentary / treatment
Cash and bank	$95,000	Available cash shown separately from operating assets and included in the equity bridge.
Accounts receivable / trade debtors	$210,000	Customer receivables included in operating asset and NTOA context.
Inventory / stock	$65,000	Stock on hand included in operating asset and NTOA context.
Total current assets	$370,000	Uploaded balance sheet current-asset total; supports the working-capital context.
Operating fixed assets	$185,000	Operating asset base shown for context; not used as a standalone asset valuation.
Other non-current assets	$295,000	Other long-term assets shown for balance-sheet completeness.
Total assets	$850,000	Reported asset base shown as financial-position context.
Accounts payable / trade creditors	$155,000	Trade payables included in operating liability and NTOA context.
Other current liabilities	$45,000	Other operating current liabilities included in NTOA context where extracted.
Short-term loans / current borrowings	$60,000	Current interest-bearing borrowings included in the debt bridge.
Total current liabilities	$260,000	Uploaded balance sheet current-liability total; supports the working-capital context.
Long-term loans / borrowings	$100,000	Non-current interest-bearing borrowings included in the debt bridge.
Other non-current liabilities	$60,000	Other long-term liabilities shown for balance-sheet completeness.
Total liabilities	$420,000	Reported liability base shown as solvency and leverage context.
Shareholders' equity / net assets	$430,000	Book equity is shown for context and reconciled separately from going-concern enterprise value.
Net tangible operating assets (NTOA)	$260,000	Receivables, stock and fixed assets less accounts payable and other operating current liabilities, excluding cash and interest-bearing debt.
Operating working capital	$75,000	Accounts receivable and stock less accounts payable and other operating current liabilities.
Interest-bearing debt	$160,000	Borrowings deducted through the net-debt bridge.
Net debt	$65,000	Interest-bearing debt less cash and bank.
Surplus assets	$0	No separately identified surplus or non-operating assets in the sample case.

Balance sheet item	Value	Commentary / treatment
Midpoint enterprise value	$2,314,000	Central DCF operating-business value after illiquidity adjustment.
Less: net debt	($65,000)	Deducted to move from enterprise value to shareholder value.
Add: surplus assets	$0	No surplus assets added in the sample case.
Midpoint equity value	$2,249,000	Central shareholder-value indication after the bridge.

ACCOUNTIQ INDICATIVE VALUATION

11 Valuation Approach and Assumptions

Earnings and forecast period

The model uses normalised FY25 EBITDA of $287,000 and a five-year explicit forecast period. Revenue and maintainable earnings grow at 8.0% a year, derived from uploaded revenue history because management did not provide a specific short-term forecast.

Long-term and reinvestment assumptions

A 2.5% terminal growth rate is anchored to long-run New Zealand inflation and remains below every WACC scenario. The model applies the 28% New Zealand corporate tax rate. Base depreciation of $25,000 is assumed to equal maintenance capital expenditure. Operating working capital is modelled at 5.0% of revenue, so growth requires a corresponding incremental cash investment.

Ownership and customer context

Management has indicated that operational responsibility is shared, no single customer represents more than 20% of revenue, and income is a mix of recurring and project work.

Assumption basis at a glance

Interpretation	Value	Meaning
Maintainable earnings base	**$287,000**	Normalised EBITDA used as the valuation earnings base.
Growth assumption	**8.0%**	Forecast growth assumption disclosed with its source.
Public research inputs	**2**	Assumptions supported by public market, inflation or discount-rate evidence.
Management-confirmed inputs	**5**	Management-supplied private inputs used for business-specific assumptions.
Technical model inputs	**1**	Valuation-model conventions disclosed with the assumption basis.

Assumption / input	Value used	Primary source	Why it matters
Normalised EBITDA	$287,000	Uploaded financial statements plus management-confirmed earnings adjustments	Sets the maintainable earnings base for DCF and multiples cross-checks.
Explicit forecast period	5 years	AccountIQ valuation model convention	Defines the period over which cash flows are forecast before terminal value.
Revenue and earnings growth	8.0%	Uploaded revenue history: CAGR capped between -5% and 12%	Drives the forecast cash-flow build and sensitivity matrix.
Terminal growth	2.5%	Public research: New Zealand inflation input	Anchors long-term growth and must remain below the discount rate.
WACC scenarios: high / mid / low valuation	9.9% / 11.5% / 13.4%	Public research: RBNZ risk-free rate and Damodaran ERP/beta	Discounts forecast cash flows and creates the valuation range.

Assumption / input	Value used	Primary source	Why it matters
Maintenance capital expenditure	$25,000	Uploaded financial statements: depreciation proxy	Converts EBITDA into free cash flow by allowing for asset reinvestment.
Operating working capital ratio	5.0%	Uploaded balance sheet: operating working-capital line items	Captures the cash investment required to support revenue growth.
Debt, cash and surplus assets	Debt $160,000; cash $95,000; surplus assets $0	Debt: uploaded balance sheet borrowings where extracted; cash: uploaded balance sheet cash balance; surplus assets: no management-supplied amount identified	Bridges enterprise value to indicative equity value.
Owner or key-person dependency	Responsibility is shared across leadership and team	Management-confirmed private input	Informs transition risk, key-person exposure and continuity planning.
Largest-customer concentration	10% to 25%	Management-confirmed private input	Highlights concentration risk that is not usually visible online.
Revenue predictability	A mix of recurring and one-off revenue	Management-confirmed private input	Distinguishes contracted revenue from transactional or project income.
Revenue outlook	No specific forecast provided; growth derived from uploaded financial history	Management-confirmed private input	Documents the short-term outlook used to support or derive the growth assumption.

ACCOUNTIQ INDICATIVE VALUATION

12 Weighted Average Cost of Capital

The cost of capital was developed from current public data and adjusted for the risk and illiquidity of a privately held New Zealand SME. The high valuation uses the lowest WACC; the low valuation uses the highest WACC.

How the discount rate drives the range

Interpretation	Value	Meaning
High valuation discount rate	9.9%	Lower WACC means forecast cash flows are discounted less heavily, producing the upper valuation case.
Mid valuation discount rate	11.5%	Base discount-rate case used for the central valuation conclusion.
Low valuation discount rate	13.4%	Higher WACC reflects more risk and produces the lower valuation case.
Illiquidity discount	11.8%	Private-company marketability discount shown explicitly rather than hidden in the conclusion.

WACC build visual

Shows the mid-case discount-rate build from public market inputs before the separate illiquidity discount.

Risk-free rate **4.4%** Public market base return before company and sector risk.	+	**Beta-adjusted risk premium** **7.1%** Derived from 1.20 total beta and 5.9% equity risk premium.	=	**Mid WACC** **11.5%** Discount rate applied to the mid-case forecast cash flows.
Illiquidity discount **11.8%** Separate private-company marketability adjustment applied after DCF value.		**Source inputs** **ERP 5.9% / beta 1.20** Public research inputs are disclosed as part of the valuation evidence trail.		**Technical inputs** **Derived** WACC, beta and equity-risk-premium assumptions are derived and disclosed as valuation-model inputs.

Component	High valuation	Mid valuation	Low valuation
Risk-free rate	4.4%	4.4%	4.4%
Equity risk premium	5.6%	5.9%	6.2%
Industry total beta	1.05	1.20	1.35
WACC	9.9%	11.5%	13.4%
Illiquidity discount	11.8%	11.8%	11.8%

ACCOUNTIQ INDICATIVE VALUATION

13 Discounted Cash Flow Analysis

Forecast free cash flows are discounted at the three WACC scenarios. Terminal value uses the Gordon growth model and the 2.5% terminal growth rate remains below every discount-rate scenario. FCFF is EBIT after tax plus depreciation, less maintenance capital expenditure and change in operating working capital. The private-company illiquidity adjustment is shown explicitly rather than embedded in an opaque final multiple.

DCF forecast bridge at a glance

Interpretation	Value	Meaning
Adjusted enterprise value range	**$1,898,000 - $2,831,000**	DCF valuation range after the private-company illiquidity adjustment.
Midpoint adjusted enterprise value	**$2,314,000**	Central DCF indication before the enterprise-to-equity bridge.
Revenue forecast bridge	**$1,350,000 to $1,836,660**	Mid-case revenue progression across the explicit five-year forecast period.
Free cash flow bridge	**$198,731 to $270,372**	Mid-case free cash flow to firm after tax, capex and working-capital reinvestment.

DCF value build visual

Shows how the mid-case discounted cash flows and terminal value convert to adjusted enterprise value.

PV explicit FCFF **$836,951** Present value of the five-year forecast cash flows.	+	**PV terminal value** **$1,787,049** Implied continuing value after the explicit forecast period.	=	**EV before illiquidity** **$2,624,000** Mid-case DCF enterprise value before the private-company discount.
EV before illiquidity **$2,624,000** Starting point for the marketability adjustment.	-	**Illiquidity discount** **$310,000** Explicit private-company marketability adjustment.	=	**Adjusted enterprise value** **$2,314,000** Mid-case operating-business value used in the valuation summary.

DCF item	High valuation	Mid valuation	Low valuation
WACC	9.9%	11.5%	13.4%
Terminal growth	2.5%	2.5%	2.5%
Base revenue	$1,250,000	$1,250,000	$1,250,000
Normalised EBITDA	$287,000	$287,000	$287,000
Base depreciation	$25,000	$25,000	$25,000
Maintenance capex	$25,000	$25,000	$25,000
Operating working capital / revenue	5.0%	5.0%	5.0%
Enterprise value before illiquidity	$3,209,000	$2,624,000	$2,152,000
Illiquidity discount	11.8%	11.8%	11.8%
Adjusted enterprise value	$2,831,000	$2,314,000	$1,898,000

Mid-case forecast cash-flow schedule

Mid-case forecast	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	$1,350,000	$1,458,000	$1,574,640	$1,700,611	$1,836,660
EBITDA	$309,960	$334,757	$361,537	$390,460	$421,697
EBIT	$282,960	$305,597	$330,045	$356,448	$384,964
Tax	$79,229	$85,567	$92,412	$99,805	$107,790
Maintenance capex	$27,000	$29,160	$31,493	$34,012	$36,733
Change in operating working capital	$5,000	$5,400	$5,832	$6,299	$6,802
Free cash flow to firm	$198,731	$214,630	$231,800	$250,344	$270,372
Discounted free cash flow	$178,234	$172,639	$167,220	$161,971	$156,887

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14 Indicative Valuation Summary

The low DCF case overlaps the upper end of the market cross-check, while the midpoint DCF conclusion is higher at $2.31 million. This difference is driven by the assumed cash-flow growth and should be considered explicitly rather than averaged away. The DCF remains the primary conclusion and the multiple range is an independent check.

Valuation range at a glance

Interpretation	Value	Meaning
Primary DCF range	**$1,898,000 - $2,831,000**	Primary enterprise-value range after the private-company illiquidity adjustment.
Midpoint equity value	**$2,249,000**	Central shareholder-value indication after the net-debt bridge.
Market cross-check range	**$1,370,000 - $1,944,000**	Market multiples provide an independent reasonableness check, not the selected conclusion.
DCF vs multiple midpoint	**$592,000 above**	Shows where the primary DCF midpoint sits relative to the market cross-check midpoint.

Method / scenario	Input	Enterprise value	Adjusted EV	Equity value
DCF - high valuation	9.9% WACC	$3,209,000	$2,831,000	$2,766,000
DCF - midpoint	11.5% WACC	$2,624,000	$2,314,000	$2,249,000
DCF - low valuation	13.4% WACC	$2,152,000	$1,898,000	$1,833,000
Multiples - low	5.0x EBITDA	$1,435,000	$1,435,000	$1,370,000
Multiples - midpoint	6.0x EBITDA	$1,722,000	$1,722,000	$1,657,000
Multiples - high	7.0x EBITDA	$2,009,000	$2,009,000	$1,944,000

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15 Multiples Cross-check

Public benchmark evidence supports an indicative range of 5.0x to 7.0x normalised EBITDA. The DCF midpoint implies a higher multiple than the 6.0x market midpoint, so the cross-check is shown as a reasonableness tension rather than averaged into the conclusion. The range is not a direct pricing promise because observed businesses differ in scale, growth, customer mix, contract security and strategic value.

How the market cross-check is used

Interpretation	Value	Meaning
Market multiple range	**5.0x - 7.0x**	Indicative EV/EBITDA range from researched comparable evidence.
Maintainable EBITDA applied	**$287,000**	Earnings base used consistently across the market cross-check.
Implied enterprise value range	**$1,435,000 - $2,009,000**	Reasonableness range used to cross-check, not replace, the primary DCF conclusion.
Midpoint market indication	**$1,722,000**	Central market-multiple indication before the enterprise-to-equity bridge.

Implied multiple reconciliation

Compares the primary DCF output with the researched EV/EBITDA cross-check range.

Normalised EBITDA **$287,000** Maintainable earnings base used for the market and DCF implied multiple checks.	**Market EV/EBITDA range** **5.0x - 7.0x** Researched market range used as a reasonableness cross-check.	**DCF post-illiquidity range** **6.6x - 9.9x** Primary DCF adjusted enterprise-value range expressed as an EV/EBITDA multiple.
DCF pre-illiquidity range **7.5x - 11.2x** DCF enterprise-value range before the private-company marketability discount.	**DCF midpoint multiple** **8.1x** Midpoint adjusted DCF enterprise value divided by normalised EBITDA.	**Cross-check tension** **2.1x above market midpoint** Shows whether the selected DCF midpoint sits above or below the market midpoint.

Input	Low	Mid	High
EV/EBITDA multiple	5.0x	6.0x	7.0x
Normalised EBITDA	$287,000	$287,000	$287,000
Indicated enterprise value	$1,435,000	$1,722,000	$2,009,000

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16 Sensitivity and Specific Risks

Quantified sensitivity

The 8.0% growth and 11.5% WACC midpoint is the base case. Across the matrix, adjusted enterprise value ranges from $1.77 million at 6.0% growth and 13.4% WACC to $3.05 million at 10.0% growth and 9.9% WACC.

Business-specific matters

- Customer retention: although no single customer exceeds 20% of revenue, the aggregate retention of repeat customers remains important.
- Revenue quality: mixed recurring and project income provides diversity but less certainty than fully contracted revenue.
- Transition: shared management reduces key-person exposure, subject to confirming retention and handover arrangements.
- Pipeline: unsigned opportunities have not been treated as contracted revenue.

The matrix quantifies WACC and growth only. The business-specific matters remain unquantified and should be revisited if circumstances change before reliance or use.

Sensitivity takeaway at a glance

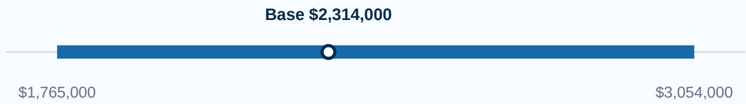
Interpretation	Value	Meaning
Base sensitivity case	$2,314,000	Midpoint case using the base growth assumption and mid WACC scenario.
Quantified EV span	$1,765,000 - $3,054,000	Full adjusted enterprise-value span across the WACC and growth matrix.
Growth cases tested	6.0% to 10.0%	Growth sensitivity range tested without asking management for extra valuation inputs.
Specific risk factors	5	Qualitative risk factors carried into the report from the short management intake.

Sensitivity spread visual

Downside, base and upside adjusted enterprise value from AccountIQ's sensitivity analysis.

Adjusted enterprise value sensitivity

Across 6.0% to 10.0% growth and WACC cases.



Growth assumption	High valuation / 9.9% WACC	Mid valuation / 11.5% WACC	Low valuation / 13.4% WACC
6.0%	$2,621,000	$2,147,000	$1,765,000
8.0% - base	$2,831,000	$2,314,000	$1,898,000
10.0%	$3,054,000	$2,492,000	$2,040,000

Specific risk factors

Specific risk factor	Management input	Valuation relevance	Report treatment
Owner or key-person transition	Responsibility is shared across leadership and team	Affects operating continuity, handover depth and confidence in maintainable earnings.	Moderate transition risk; diligence should confirm responsibilities and handover depth.
Customer concentration	10% to 25%	Large customer exposure can increase earnings volatility and diligence risk.	Moderate concentration risk; review top-customer retention and contract terms.
Revenue predictability	A mix of recurring and one-off revenue	Contracted or recurring revenue usually supports more reliable cash-flow forecasts.	Mixed recurring and project revenue creates moderate earnings visibility.
Revenue outlook and pipeline	No specific forecast provided; growth derived from uploaded financial history	Growth expectations affect forecast cash flows and sensitivity cases.	Growth is derived from uploaded history rather than a management forecast; review pipeline evidence before reliance.
Other private context	A key contract renews next year.	Captures risks or opportunities not normally visible in public research.	Management-supplied context should be confirmed and reflected in diligence, forecast cases or reliance limitations.

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17 Comparable Evidence Appendix

The evidence below is illustrative public-market and benchmark context for the sample report. It is broad-sector evidence rather than a set of directly comparable private transactions, so the observed range is used only as a reasonableness check.

Comparable evidence at a glance

Interpretation	Value	Meaning
Evidence rows	**3**	Public benchmark and context rows retained in the comparable evidence appendix.
Source URLs retained	**3**	Every evidence row should retain a URL so the reader can check the source trail.
Market multiple support	**Market evidence supports the EV/EBITDA cross-check**	Explains whether researched public evidence supports the EV/EBITDA cross-check range.
Comparability caveat	**Limitations explained as a reasonableness check**	Explains that public evidence is used for context and cross-checking, not as a direct private-company price.

Evidence	Date	Metric / multiple	Relevance and limitation	Source
Business services sector dataset	Current dataset	EV/EBITDA benchmark	Broad listed-company evidence; larger and more liquid than the subject	Damodaran Online - https://pages.stern.nyu.edu/~adamodar/New_Home_Page/data.html
NZ private-company valuation context	Valuation date	Risk-free and inflation inputs	Supports discount-rate inputs, not a transaction multiple	Reserve Bank of New Zealand - https://www.rbnz.govt.nz/statistics/series/exchange-and-interest-rates
Subject company public profile	Valuation date	Operating and market context	Public profile information retained for company-fact corroboration	NZ Companies Office - https://companies-register.companiesoffice.govt.nz/

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18 Sources and References

The following public sources support the sample report's market, WACC, inflation and public-profile context. In a live report, each source is retained so the reader can review the evidence trail behind the valuation assumptions.

Source trail at a glance

Interpretation	Value	Meaning
Public URLs retained	4	Source links are retained so a reader can inspect the public evidence trail.
Discount-rate support	Public sources retained for WACC inputs	Explains whether public evidence supports the risk-free-rate, equity-risk-premium or beta inputs.
Terminal-growth support	Inflation source retained for terminal growth	Explains whether public evidence supports inflation or long-term growth assumptions.
Business context support	Public profile sources retained for business context	Explains whether public sources support company-profile or market-context statements.

Source	URL	Supports / used for
Reserve Bank of New Zealand, interest rates	https://www.rbnz.govt.nz/statistics/series/exchange-and-interest-rates	Risk-free-rate and discount-rate context
Reserve Bank of New Zealand, inflation	https://www.rbnz.govt.nz/monetary-policy/about-monetary-policy/inflation	Long-term inflation and terminal-growth context
Damodaran Online, data resources	https://pages.stern.nyu.edu/~adamodar/New_Home_Page/data.html	Equity risk premium, beta and private-company valuation inputs
NZ Companies Office	https://companies-register.companiesoffice.govt.nz/	Company public-profile corroboration

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19 Disclaimer

Reliance at a glance

Interpretation	Value	Meaning
Intended use	Stated purpose only	Reliance is limited to the valuation purpose stated in the report.
Advice status	Not advice	The report is not a substitute for independent professional advice.
Information reliance	Management and public inputs	Conclusions depend on management-supplied information, extracted financials and identified sources.
Verification status	Not audited	The scope is an indicative valuation pack, not an audit or assurance engagement.
Third-party reliance	No responsibility accepted	Third parties should not rely on the report without their own advice and diligence.

Indicative purpose and reliance

This report is indicative only and has been prepared solely for the stated valuation purpose. It does not constitute financial advice and should not be relied upon as a substitute for independent professional, legal, tax or accounting advice. No responsibility is accepted to any third party who obtains or relies on this report.

Information and valuation date

The analysis relies on management-supplied information, extracted financial records and identified public sources. Those inputs have not been independently audited. Conclusions may change if information is incomplete, inaccurate or circumstances change after the valuation date.

Regulatory context

The report is prepared with regard to the Financial Markets Conduct Act (FMCA) context but is not a regulated product-disclosure statement, fairness opinion or assurance engagement.

ACCOUNTIQ INDICATIVE VALUATION

20 General Principles

Basis of value

- A willing but not anxious buyer and a willing but not anxious seller.
- An arm's-length transaction after proper marketing.
- Both parties act knowledgeably, prudently and without compulsion.
- The business continues as a going concern with assets used in their current operations.

Timing and information

- Value is assessed at the stated valuation date and may change as markets, trading or capital costs change.
- Forecasts are estimates, not guarantees, and depend on stated assumptions.
- Buyer-specific synergies and unusual strategic premiums are excluded unless explicitly stated.

ACCOUNTIQ INDICATIVE VALUATION

21 Glossary

Core valuation terms

- DCF: Discounted cash flow. This method estimates value by forecasting the future cash flows the business is expected to generate and discounting those cash flows back to today's dollars. It is useful where the business is expected to continue trading and value is driven by future maintainable performance.
- Enterprise value: The value of the operating business before allowing for its financing position. It excludes the effect of surplus cash, interest-bearing debt and separately identified non-operating assets so readers can assess the value of the business operations themselves.
- Equity value: The value attributable to shareholders after the enterprise-value bridge. It starts with enterprise value, deducts interest-bearing debt, adds available cash and adds any separately identified surplus or non-operating assets.
- EBITDA: Earnings before interest, tax, depreciation and amortisation. It is a common proxy for operating earnings before financing, tax and non-cash depreciation charges, but it is not the same as cash flow because it excludes capital expenditure and working-capital movements.
- Maintainable earnings: The level of earnings considered sustainable for valuation purposes after removing unusual, one-off, owner-specific or non-operating items. Maintainable earnings should represent the earnings a market participant could reasonably expect from normal operations.
- Normalisation: A valuation adjustment that converts reported earnings into maintainable earnings. Examples include adding back genuine one-off legal costs or adjusting owner remuneration to an arm's-length management cost.
- Terminal value: The value attributed to cash flows beyond the explicit forecast period. In a DCF, it often represents a large portion of value, so the terminal growth assumption must be supportable and lower than the discount rate.
- WACC: Weighted average cost of capital. It is the discount rate used to convert forecast cash flows into present value and reflects the return a market participant would require for the risk of investing in the business.
- Illiquidity discount: An adjustment for the reduced marketability of a private-company interest compared with a listed security. It recognises that selling a private business interest can take longer, involve more diligence and attract a smaller buyer pool.
- FMCA: The Financial Markets Conduct Act 2013. The report refers to this regulatory context to make clear that the output is indicative valuation support, not a regulated product-disclosure statement, fairness opinion or substitute for independent professional advice.